

[13. **Of trust chattels left in the possession of the bankrupt trustee.** — By the Bankruptcy Act, 1883, it is enacted that the property of the bankrupt divisible amongst his creditors shall comprise “all goods being at the commencement of the bankruptcy in the possession, order, or disposition of the bankrupt *in his trade or business*, by the consent and permission of the true owner, under such circumstances that he is the reputed owner thereof.” Thus, although all persons (traders or not) can now be made bankrupts, only those engaged in some trade or business come under the operation of the order and disposition clause; and, as it would [*243] * seem, then only as to goods affected by such trade or business. The same section also provides that “*things in action* other than debts due or growing due to the bankrupt in the course of his *trade or business* shall not be deemed *goods* within the meaning of the section” (a).

It should be observed that this section differs from the corresponding section in the Bankruptcy Act, 1869 (b), which applied to the goods in the order and disposition of the bankrupt trader, whether in his trade or business or not. But the existence of this distinction has been denied by V. C. Bacon, in the case under the Act (c). Under these sections it has been held that shares in companies are not things in action within the Acts (d); but that debentures of a company, by which they undertake to pay a sum of money and interest, and charge their undertaking and property with the payment thereof (e), and policies of life assurance (f), and equitable interests in shares which are registered in the names of other persons (g), are such things in action.]

12 Ves. 349, *per* Lord Eldon; *Ex parte* Coysegame, 1 Atk. 192; *Frith v. Cartland*, 2 H. & M. 417; *Fleeming v. Howden*, 1 L. R. H. L. Sc. 372; [*Harris v. Truman*, 7 Q. B. D. 340; 9 Q. B. D. 264;] see *Mestaer v. Gillespie*, 11 Ves. 624; *Ex parte* Herbert, 13 Ves. 188; *Waring v. Coventry*, 2 M. & K. 406.

[(a) 46 & 47 Vict. c. 52, s. 44.]

[(b) 32 & 33 Vict. c. 71, s. 15.]

[(c) *Colonial Bank v. Whinney*, 32 W. R. 974.]

[(d) *Union Bank of Manchester, Re Jackson*, 12 L. R. Eq. 354; *Colonial Bank v. Whinney*, 32 W. R. 974, a case under the last Act on appeal, 30 Ch. Div. 261; and see *Société Générale de Paris v. Tramways Union Company*, 14 Q. B. D. 424.]

[(e) *Re Pryce*, 4 Ch. D. 685.]

[(f) *Ex parte Ibbetson*, 8 Ch. D. 519.]

[(g) *Ex parte Barry*, 17 L. R. Eq. 113.]